3. Its widespread introduction might take a new organizational design.

   HFs already practice dynamic factor investing now. But they are unlikely vehicles to make factor investing low cost and widely available. Even if HFs lowered their fees, secretiveness and opacity are the antithesis of simple, well-documented factor strategies.

4. The first investors will be taking risks.

   The early investors in index funds, like the pension funds of Samsonite and Illinois Bell, took risks by investing in an unproven, nontraditional product that faced hostility from traditional management firms. This is hard for large, mainstream asset owners who like to do what everyone else is doing for "fiduciary" reasons. The giant asset owners—the sovereign wealth funds and smart pension funds with hundreds of billions—have the skills to implement, and many already trade, factor portfolios in house. The small investor may not even understand the concept of factor investing. So it will likely be large, but not huge, sophisticated institutional investors who will delegate to external factor managers. These asset owners have the capital, but not the expertise, to trade their own factor portfolios. Family offices, large endowments, and innovative pension funds are prime candidates. But they need to be brave.

5. The Quant Meltdown Redux

The quant meltdown in August 2007 showed that a set of HFs had exposures to the same risk factors. The large losses of quant funds could have been caused by one quant fund needing to liquidate immediately at fire-sale prices. Quant funds were all doing the same trades, had exposure to the same factors, and so all went down together. What caused the rebound on August 10, 2007? It could have been that the large unwind by one quant fund ended. Or it could have been that prices had moved so far from fair value, quant funds simply stopped taking their strategies off. Perhaps new capital—like the $3 billion injected into Goldman's quant funds—put the strategies back on. Whatever the reason, the quant meltdown showed that HFs are not absolute return strategies, and they are exposed to common factors.

HFs are not an asset class; they are bundles of factor risks. The most important factors are equity market risk and volatility risk. In particular, most HFs sell volatility and so generate steady returns most of the time, punctuated by the occasional frightful loss. In factor risk strategies, the regular returns during normal times compensate investors for suffering through infrequent catastrophes. HFs are at present the only large-scale organizational form to access many of these dynamic factors, but the hoped-for introduction of low-cost factor portfolios could change this.

HFs are not alternative beta. They are expensive beta.